

Impact Investing: BlackRock

December 7, 2020

Strategic Opportunities in Impact Enterprise (MGT663)

The BlackRock logo is centered within a solid black square. The logo itself consists of the words "BlackRock" in a bold, white, sans-serif typeface. A small registered trademark symbol (®) is positioned to the upper right of the word "Rock".

BlackRock®

Introduction and Company Overview

Recently BlackRock's CEO Larry Fink writes a letter to other CEOs annually; these letters detail ways in which companies can do better in investing for the long-term and have made BlackRock infamous for its push towards valuing people and planet as well as profit. Because of Fink's letters and the company's values, BlackRock is one of the leading companies for impact investing.¹

The term "impact investing" is a new idea, and has only been around since 2007, when a small group of pioneers got together to invest in community, microfinance, and environmental sustainability in Italy. Since then, impact investing has grown substantially, and the term has become a part of the common language within environmentalist groups, social movements, and the investment industry.²

BlackRock, an American global investment management corporation, began in 1988, but did not begin positioning themselves as a leader within the impact investment industry until 2018. Since then, Larry Fink has been writing letters each year to CEOs encouraging them to consider improvements in Environmental, Social, and Governance aspects and reporting in their companies.³ Fink's letter has become infamous and controversial within the finance industry, due to both the letters' messaging and questions around the lack of action and change that the letters have brought.

Today, BlackRock is the world's largest asset management company, recorded in 2019 as having \$7.4 trillion in assets under management.⁴ This report covers aspects of BlackRock's impact investing including financial and strategic analyses of the company, an impact analysis of BlackRock's investments and voting history, and our team's recommendations for BlackRock moving forward. Our team also researched an in-depth look into the complexities of whether BlackRock's actions match their values and mission.

Industry Analysis

History and Guiding Principles

Impact investing is broadly defined as "investing with the intention of generating positive, measurable social and environmental impact alongside financial return".

⁵ The model, envisioned by the Rockefeller Foundation as a means of organizing and galvanizing the thus far unorganized and ad hoc *socially responsible investing* market, was two-fold:

- 1: Make investments that generate both positive impact and financial returns
- 2: Transform the broader practice of investing.⁶

Impact investing differs from the gamut of other *SRI* models because it seeks to create holistic change within finance and the investing industry. Whereas *ESG investing*, *sustainable investing*, *ethical investing*, or *venture philanthropy* might all describe a means of investing with impact in mind, their effect on the industry at large is limited; the goals and practices of *SRI* organizations and initiatives prior to 2007 tended to mimic those of the non-profit industry, where risk aversion and placating donors (or shareholders) constrained pursuing new avenues of growth potential.

When the Rockefeller Foundation convened a small committee of *SRI* investors in 2007 to discuss the state of *socially responsible investing*, they sought to grow the practice beyond its philanthropic roots to a "mature, high functioning market."⁷ To this end, two years later a formal report and proposal was produced outlining a ten-year timeline for creating structure and facilitating growth for the newly conceived *impact investing* market.⁸ The key tenets of this plan were as follows:

- 1. Intermediation:** create “industry defining funds” and opportunities to invest intentionally with impact in mind.
- 2. Build Infrastructure:** Create a common language around *impact investing*; create a common set of metrics for measurement and accountability; and initiate better public reporting tools for progress.
- 3. Foster Capacity:** Support preexisting scalable approaches and support the development of new scalable approaches to creating financial and social returns.⁹

The critical component of implementing any growth strategy was the annual collection and deployment of quality data about the state of the industry.¹⁰ In 2009, the Global Impact Investing Network (GIIN) was established to aid in the collection and reporting of this information. Their annual investor survey and industry publications document the progress of impact investing globally, providing a critical means of determining trends towards *impact investing* in the financial sector as a whole and microtrends within the industry.

In 2011, the J.P. Morgan and GIIN joint publication *Insight into the Impact Investment Market* delivered an early analysis on the state of *socially responsible investing*. For FY 2011, a mere \$4 billion in capital was invested in firms who sought to use the funds to produce financial returns and social impact.¹¹ Qualitative data produced from the industry examined the responses of 52 respondents and delved into how each perceived the industry’s progress towards meeting the GIIN’s expressed goals of **intermediation, infrastructure building, and capacity growth**. 75% of the responding organizations perceived the industry to be “in its infancy and growing,” reflecting a similar metric were almost all respondents agreed that the number of investors they interacted with who knew what impact investing entailed had nearly doubled from prior years.¹² At this point, the major challenges inhibiting further growth were a lack of both a standardized reporting structure and language, and lack of opportunity to deploy capital for social impact. The two deficiencies in the industry were compounding, with lack of measurable impact deterring interested investors and a subsequent dearth of successfully scaled projects from which to create best reporting practices.

Four years later, several external institutional changes altered the landscape of the sector and brought impact investing into new relevance. Globally, the declaration of the 2030 Sustainable Development Goals by the UN created a loose but concrete set of standards to begin measuring social and sustainable impact.¹³ Within the United States, two regulatory changes lowered entry barriers for firms looking to begin investing for impact. First, the U.S. Treasury issued guidance “stating that private foundations may invest their endowments towards their own charitable purposes, even if doing so might sacrifice financial returns.”¹⁴ This guidance provided entities desiring to invest with social impact in mind with the official flexibility to do so, beyond standard fiduciary responsibilities. In addition, the Department of Labor issued guidance for “economically targeted investment” use in pension funds, stating that 1) ESG factors could act as tiebreakers in choosing investment alternatives and 2) that ESG factors should be taken into consideration when examining alternatives.¹⁵

These changes and declarations heralded a shift in the priorities of global consumers and investors, forcing the finance sector and global business at large to respond and adapt to changing market demands. This bodes well for the impact investing industry. For FY 2015, the GIIN reported an estimated \$15.2 billion dollar commitment to impact investments from 125 of the annual survey respondents.¹⁶ However, the challenges that plagued the industry in its early days persisted despite some improvements. There still existed a lack of attractive opportunities

and vehicles for investors to direct their capital towards. Similarly, cohesive standards for parallel financial and impact assessment were still lacking.¹⁷ The other significant challenge facing the industry, as identified by the GIIN and its respondents, was a “lack of appropriate capital across the risk/return spectrum” regarding appropriate stage-of-business and risk related capital.¹⁸

Current State of the Industry

In 2019 the value of the global impact investing market was an estimated \$715 billion, with an estimated 1,340 firms managing \$502 billion assets globally.¹⁹ The 294 respondents to the GIIN annual survey maintained, as their counterparts did in 2011, that the industry was steadily growing and were committed to increasing their capital invested by 2% and investments overall by 28% respectively.²⁰ This microtrend reflects a broader increase in annual investments by approximately 12% by the repeat-respondent group between 2016 and 2020.

Publicly traded and private debt still represent the highest portion of assets under management, with the greatest number of respondents allocating those assets towards energy and financial services development.²¹ However, the fastest growing AUM category shifted towards public equity with water, health, and sanitation surpassing energy as the fastest growing sector for asset allocation.²²

While the financial statistics are optimistic, the qualitative metrics reveal a prolonged struggle to create structure in the industry. The survey investigated how many of the respondents used an array of different measurement frameworks, and the results reflected a spread that inclined to utilize the SDGs and the GIIN’s IRIS Catalog of Metrics as their means of gauging impact and setting goals.²³ This trend shows promise in a unifying structure and demonstrates faith in the efforts of the GIIN to create a standardized infrastructure, but highlights the difficulty in creating a sort of uniform structure for measuring impact in different contexts.

Evaluating this particular data set is critical because it was an area previous surveys had identified as an area of great growth.²⁴ Other challenges identified in the 2019 survey mirrored challenges identified in previous surveys, with little to no progress being made in finding appropriate capital and only some progress being made in creating more opportunities for better investment.²⁵

Industry Mechanics and Developments

The value chain for *impact investing* mirrors the value chain for traditional investing, where suppliers (investors) are connected by intermediaries (like BlackRock and Vanguard) to firms who require or request capital to fulfill their business goals.²⁶ The critical point of differentiation occurs where the performance of a firm in meeting their ESG goals and measurement of their social impact directly influences the amount of impact capital attracted or allocated.

Within the industry, a handful of developments geared towards specific parts of the value chain are making investing for impact more accessible and more measurable. Although the global impact investing community has struggled to come to a consensus about how to best measure impact over the past decade, several tools emerged that provided some guidance. Most firms who respond to the GIIN annual surveys utilize a combination of impact measurement and management (IMM) tools created by GIIN (IRIS+, GRIIS, and IRIS Catalog of Metrics) in combination with the SDGs to set goals and track progress.²⁷ The Impact Measurement Project’s Five Dimension system (IMP) and the GIIN’s Impact Reporting and Investing Standards (IRIS+) are the newest measurement tools in the industry, introduced in 2016 and 2019 respectively. The deployment of specific tools seems to be geographically dependent, according to the 2020 GIIN report, where investors focusing on more developed markets tend to utilize the SDGs and outside

tools to measure impact and investors focusing on emerging markets heavily rely on the tools generated by GIIN.²⁸

Looking at the investor part side of things, an increase in the use and awareness of micro investing platforms (Newday, Ellevest, Betterment) has increased investor accessibility to impact investing opportunities. While this niche market is still relatively new, it presents an interesting opportunity for both unconventional investors to generate social and financial returns and for investees to attract unconventional forms of capital at stages where traditional capital might not be an option.

Five Forces Analysis

The complexities of the investing industry generate some unusual competitive scenarios between traditional investing firms and impact investing firms; however, within each market the forces that influence the relationship between buyers, suppliers, and competing firms fairly constant given the entrenched set of systems that govern the financial sector.

Buyer Power

In this model, the investees represent the buyers; investees are the recipients of impact investing capital and their consumers ultimately dictate their behavior as shareholders and with purchase patterns. Investees as buyers in this space have relatively little power, particularly if they are in a position where they are requesting capital to enable business operations and impact creation. Similarly, they are first and foremost responsible to the interests of their customers. While surely competition exists between the firms who are even deemed eligible for receiving impact investing capital based on their social impact track record, overall, they are at the mercy of the suppliers (investors) and intermediaries who invest in them. If the market continues to expand, and the finance and corporate business sectors continue to transition their priorities towards long term environmental and social impact, this power imbalance may become more negligible. However, as most corporate entities command the lion's share of capital necessary to enact change and have a fiduciary responsibility to their shareholders, this may never correct itself.

Buyer power as a competitive force has relatively little influence on BlackRock's position in either the traditional asset management market or the impact investing market. The firm is large enough, commanding several trillion dollars in AUM, that it can dictate and ultimately refuse to invest with firms it deems unsatisfactory. Perhaps the only influence buyers in this context wield is over the reputation of BlackRock, where a firm that aligns or fails to align with the BlackRock's client values might influence public perception and the investment of future clients.

Supplier Power

Investors and intermediaries in this space have a disproportionate amount of power simply because the structure of the industry is so entrenched. Corporations have an obligation to maximize profits for their shareholders, and by imposing a more rigorous set of performance standards on top of that responsibility makes firms seeking capital even more beholden to shareholders.

The influence of this competitive force on BlackRock's position in the market is significant, in that it forced the firm to reevaluate their role as a fiduciary. Their investors, and the market at large, began to shift in the early 2010's toward capital allocation that had a dual benefit. In response to this shift, BlackRock took an aggressive public stance in support of climate initiatives and socially responsible investing. Larry Fink's imploring annual letters to the business community are a direct reaction to shareholder's increasing interest in generating social and financial returns. Likewise, firms like BlackRock hold a disproportionate amount of power

over smaller asset management firms and corporations requiring capital because they command enough resources to effectively dictate the terms under which investees receive capital.

Threat of Substitution

The substitute services within this space have an intriguing relationship with impact investing, as the practice seeks to foster growth with one of them while eliminating the inefficiency of the other. Impact investing is in direct competition with traditional forms of philanthropic giving and offers an incentive over the inefficiencies of non-profit fundraising: financial return and less regulated capital. Large intermediaries like BlackRock, Vanguard, or Acumen command trillions in assets and have the trust of their clients that they will manage their wealth in their best interest. Done effectively, the impact possible from well allocated funds vastly supersedes the possibilities of what the non-profit industry might churn out in a good year.

Impact investing firms are also potentially in competition with the social enterprises they seek to foster. Social entrepreneurship and impact entrepreneurship are fields that are rapidly gaining traction as younger demographics seek to tie career and purpose together. Fundamentally, a company creating a near immediate and tangible return in exchange for an a good or service has attractive potential over investing where the expectation that returns will occur years down the road.

BlackRock faces the most competition in this area, as the second and third largest global asset management firms engage comparable amounts of capital into their ESG related activities. In the case of Vanguard, they engaged \$2.72 trillion in impact related funds in 2019 where BlackRock only invested approximately \$86 billion—a mere fraction of their total assets. Firms as large as “The Big Three” are in direct competition with one another in this space because they have the resources to not only deploy incredible amounts of capital, but to independently measure their impact.

Threat of New Entry

Threat of entry into the space presents an issue of duality. On the one hand, barriers are relatively high to become either an investor or an investee. Firms must follow rigorous performance standards, be intentionally transparent, and have the resources to develop long term financial strategies parallel to long term impact strategies. Similarly, generating impact as an investor in the space can be difficult given how little published information exists about how impact capital functions in underdeveloped markets and how effective impact investing is in generating financial returns.

On the other hand, regulatory structures in major developed markets are working to allow organizations the fiduciary flexibility to pursue social impact. Political and social institutions are trying to ensure that companies who wish to pursue impact agendas have the latitude and resources to do so.

Competitive Rivalry

1,720 organizations identified by GIIN in 2015 managed over \$715 billion in assets.²⁹ The lower threshold for involvement in any GIIN survey is roughly \$10 million, with the average firm participating overseeing \$452 million AUM.³⁰ The firms are in direct competition with one another, and the other potential substitutes in the space, for the capital at play in what might be considered the “impact” marketplace. Here, size is an advantage as large firms command the information, human, and financial resources to persuade investors to that they are the most effective intermediary to create social and financial returns with their funds.

As mentioned earlier, BlackRock is in direct competition with both the largest asset management firms in the industry and the smaller intermediaries operating on a smaller scale in

the impact investing space. Their size, and those of Vanguard and USB Group, and a near identical set of product offerings across each of “The Big Three” allow each to impose relatively high entry barriers for any kind of new firm trying to break into impact investing. Likewise, their command of not only information resources but a high degree of public credibility allows BlackRock to eliminate smaller sources of competition to focus solely on their rivalry with other large asset management firms.

Outlook and Success Factors

In the last decade, the improvements in industry infrastructure, measurement and reporting, and a broadening awareness of the dual benefits of impact investing expanded impact investing far beyond the expectations of its formative members. The AUM increased an average of 12% annually between 2010 and 2020, with GIIN respondents committing to a 1-2% increase in their giving year over year.

A few promising trends highlighted in the 2020 GIIN report are likely to promote further growth in the near future and will be critical to the success of the industry and its investors. First, while IMM tools and reporting are still variable across different contexts, the general trend towards utilizing GIIN’s IRIS tools and the SDGs to both create goals and track their progress is a promising move towards a standard reporting and measurement structure. This will ultimately lead to a greater level of transparency and a more accurate gauge of the profitability of specific practices within the industry and within different contexts. Similarly, a standardized system will complement the efforts of large corporations to move towards more transparent and aggressive ESG benchmarks. The rise of corporate accountability for their negative externalities, coupled with increasing public scrutiny of entities failing to address those issues, stands to support an industry wide shift in investing towards impact or socially responsible investing.

Another trend emphasized in the report is that investors expecting market-rate returns in developed markets were overwhelmingly out-performing other markets and categories for return rates.³¹ This is an improvement over the year before, where the majority of respondents to the survey were making returns that were in-line with their expectations, and a continuation of the trend over 2017.³² The consistent generation of attractive returns, perhaps more so than any other factor, will determine the longevity of the industry and the number of competitors in the future.

Financial Analysis and Success Indicators

BlackRock’s mission since its founding has been the managing assets and prioritization of client needs. Their initial public offering (IPO) to the New York Stock Exchange on October 1st, 1999 sold for \$14 per share, and by year end BlackRock held \$165 billion in assets. By 2009 BlackRock burgeoned into the world’s largest asset management company and was operating in 24 countries³³. As of September 30, 2020, BlackRock was managing \$7.81 trillion in assets³⁴. They currently have a market capitalization of \$109.558 billion³⁵ and their stock is being traded just above \$700³⁶. BlackRock’s Annual Reports from 2015³⁷, 2016³⁸, 2017³⁹, 2018⁴⁰, and 2019⁴¹ were used for each of the five-year horizontal analyses in this section.

History and Stock Performance

As seen in Figure 1 below, BlackRock has had consistent and steady growth over the last ten years. While most figures and charts throughout this section will be analyzed over the last five years, this chart goes back to 2010 to show how the last three years have seen significantly more growth, but also more inconsistencies than their general historic trend.



Figure 1

It is interesting to note the sharp dip in Quarter 1, 2020, which was due to the Covid-19 pandemic. After experiencing this rapid drop in stock price that the whole economy faced, BlackRock was able to recover extremely quickly and was back at their pre-pandemic stock price within three months. Even throughout the turmoil of this year, BlackRock has seen the most rapid growth in share price in their history. This is due to their ability to continue working from home internationally and their focus on their clients. They have outlined the following actions in response to the pandemic:

1. Delivering for clients

- Operational resilience, governance and inspiring leadership, focus on investment stewardship, staying close to our clients, risk management

2. Employee well-being

3. Firm culture and enablement

4. Relief efforts in our communities

5. Communicating with shareholders⁴²

Their continued work and focus on transparency with their clients have shown stockholders that they are a reliable and attractive investment. This same trend can be seen in the profitability measurements over the last nine quarters, as outlined in the figure to the right. Throughout the rest of this section there will be more long-term historical analyses, but this was worth noting in regards to the effect of Covid-19.

Revenue

The figures below show BlackRock's revenue and revenue growth for the last five years. BlackRock is a well-established company and their revenue reflects that. In 2019 they had a revenue of \$14.539 billion and see growth in revenue each year.

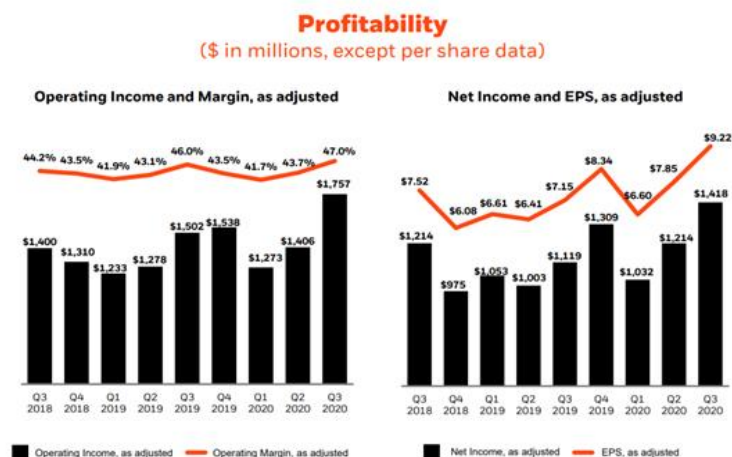
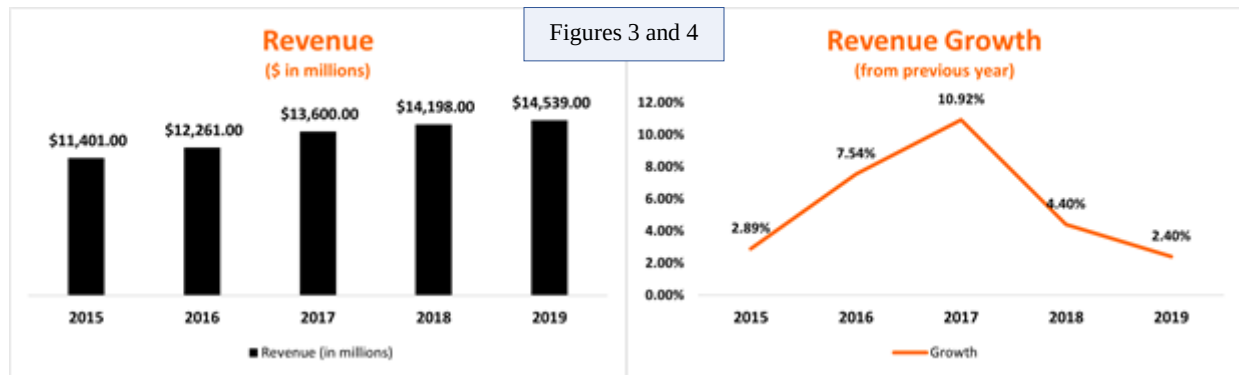


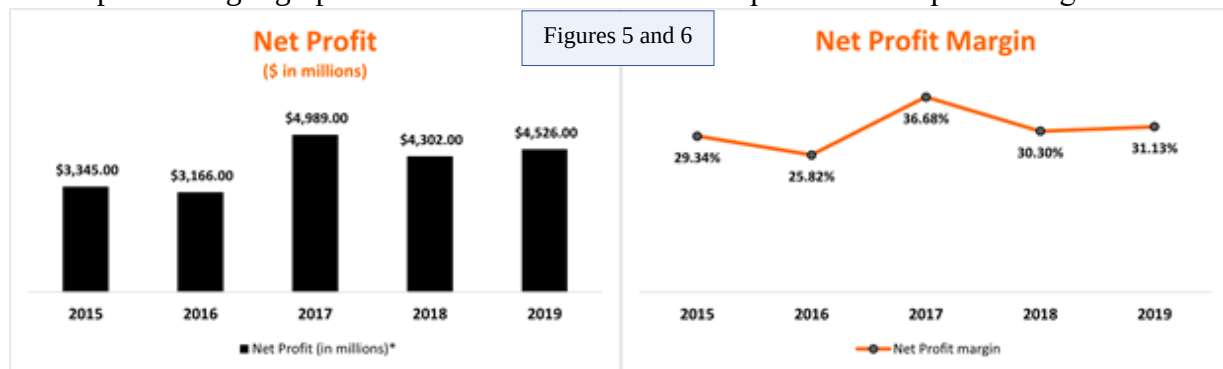
Figure 2



While this revenue growth may not look good after 2017, this just means that they have grown at a slower rate over the last two years. In 2017 BlackRock made several acquisitions in technologies and other asset management companies to increase their scope. One of the companies they acquired was Cachematrix, which increase their management in cash strategies by \$450 billion. This acquisition was a big factor in their more drastic revenue growth in 2017.

Profitability indicators

In order to assess BlackRock's profitability, net profit and net profit margin was analyzed. The net profit margin measures the percent of revenues that is left over to be reinvested into the company or distributed to owners as dividends. This was chosen to be analyzed because BlackRock distributes quarterly dividends to their stockholders. The net profit and net profit margin graphs below show BlackRock's net profit and net profit margin.



As shown in the figure above, BlackRock's net profit margin has fluctuated between about 25 and 35 percent over the last five years. This is a high margin for this measure and leaves BlackRock with a significant amount of money to reinvest or distribute. This has been reflected in consistent increases in their dividends. Figure 7 shows the cash dividends distributed over the last nine quarters.

Capital Efficiency

In order to analyze BlackRock's capital efficiency, return on equity and debt-to-equity were found. First, return on equity describes the amount of return that an investor in BlackRock will see. Being able to provide a return to investors is important to keep them happy and continue their investment in the business. As seen in Figure 8, BlackRock is providing sufficient return on equity that their investors should be happy with, as a good benchmark for return is about 14%. The second measure we used to analyze capital efficiency was the debt-to-equity ratio. This indicates the amount of leverage that BlackRock is using to operate. Figure 9 shows that BlackRock is using significantly more debt to finance their operations than equity. For most industries it is a concern for the debt-to-equity ratio to be above 2, unless they mainly operate from a large amount of fixed assets⁴³. Because of this, we are a bit

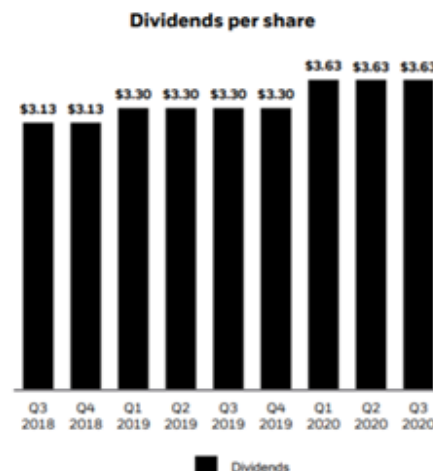


Figure 7

Figure 8

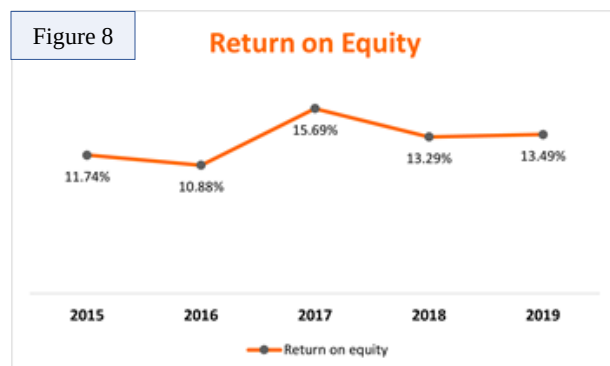
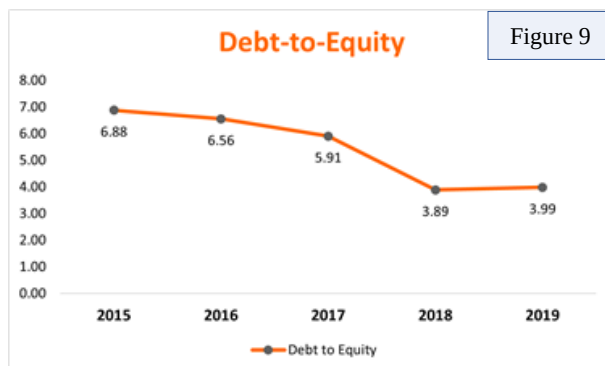


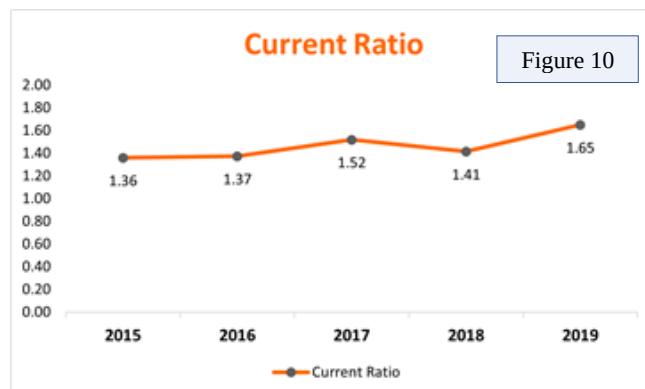
Figure 9



worried about how BlackRock is financing their operations, but it is encouraging to see that this ratio has consistently decreased, especially over the last two years.

Liquidity

The final measure that we used to evaluate BlackRock was the current ratio, which tells us how BlackRock can pay off their short-term obligations. Generally, a current ratio should be above 2, so this is a bit unsettling. This is not surprising, however, because of BlackRock's long-term focus and strategy. As seen in the graph to



the right, 2019 saw a jump in the current ratio and hopefully BlackRock can continue this trend.

Overall, BlackRock is in a strong financial position. Some of their short-term measures have some cause for concern, but their long-term strategies help explain these figures. The company's maturity and proven ability to operate alleviates most of this concern.

Assets Under Management

In addition to analyzing BlackRock's internal financial position, it is important to see how they are managing their client's assets. The figure to the right shows how return from BlackRock has consistently outperformed their peers (as a collective) over the last several years.

Their peers that are being used for comparison in this figure include Alliance Bernstein, Affiliated Managers Group, Franklin Resources, Eaton Vance, Invesco, Legg Mason, and T. Rowe Price Group.

This figure is a good representation of the change in perception of impact investing. Especially in the last five years, people have wanted their money to be invested in a meaningful way, which has brought them to BlackRock. This change in perception also makes it easier for BlackRock to be more successful in their impact investing strategies, which can be seen in their large jump in return over the last decade.

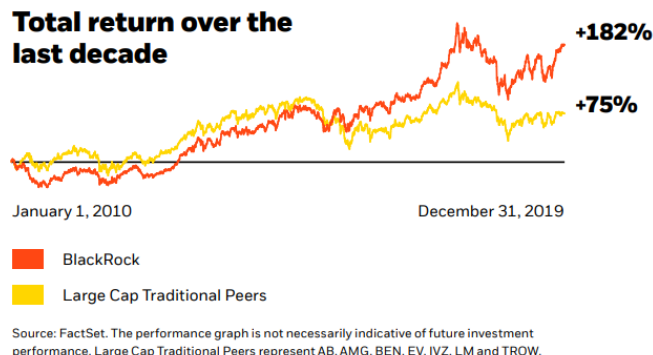


Figure 11

Strategic Analysis

To gain a better idea of their strategy a member of our team talked with a previous employee of BlackRock, who has a work history in asset management (personal interview via video call, November 5, 2020). When prodding him on BlackRock's strategy, specifically with sustainability, he stated, "BlackRock is putting their money where their mouth is...where they can."

BlackRock is becoming known as one of the leaders in the sustainable investing space, redefining positioning and strategy for mainstream asset management. However, they still receive backlash for not completely following their sustainable mission. An example of this includes BlackRock's continued stake in multiple fossil fuel producing companies. The employee's above quote stated BlackRock is sustainable "where they can" be, and although this company is attempting to establish itself as a sustainable leader, they are still in service to their customers. This employee helped connect a lot of their business activities to their stated purpose, which can be seen in what they are actively doing to change the investing world. Their mission statement has four main aspects that they call "What we stand for":⁴⁴

"We are a fiduciary to our clients"

Meaning they are of service to their investors, as they say, "your goals are our goals." This creates some issues, as their investor's goals may not always line up with their main values. This is where their stake in some companies becomes an issue. For example, while they may not fully align with the decisions a Big Oil company may make, they still sell investment products that their consumers want and contain these companies. However, as a service to their clients they make recommendations as where to invest. To further their values, they have created many helpful tools to advance this. The employee that we spoke to helped BlackRock's customers

enact “screens” that would filter companies to invest in by similar social characteristics like human rights activism, diverse boards, or low-carbon investments. While BlackRock is there to serve, they are ultimately being chosen by investors for their recommendations. BlackRock stands by their mission and will continue to recommend investments that align with their values with clients as their main priority.

“We are passionate about performance”

BlackRock was founded on being a transparent company and they continue to be show many of their financials in a responsible way. BlackRock in a lot of ways has an “open book” policy on showing their performance and how they track it. While much of it is publicly available information, they are also looked upon for many trends in the industry. Overall, their CEO and executive team have become public figures, commenting on industry happenings (like the most recent US election⁴⁵) and presenting their ideas and suggestions to the public. This mix of openness about performance and how they are attempting to achieve it shows their passion to increase value for their customers in a competitive landscape. Also, the employee informed us that these conversations are happening regularly at BlackRock with some of the largest companies and investors in the world.

“We are one BlackRock”

One of our first questions to the BlackRock employee was on culture. Their CEO is saying a lot of impactful things every day, but how much does that translate to the internal teams? We were surprised to hear that it is quite a lot. BlackRock makes huge investments into getting their team to buy into the missions and values around sustainability. With monthly trainings on topics such as diversity and the environment, they have the goal of all BlackRock employees being an expert on all ESG related subjects. The buy-in from the employees was also inspired by promoting them to do their own good in the world, such as a portion of their salary that is mandatory to be donated to a charitable organization of their choice.

“We are Innovators”

BlackRock has a history of innovation that it proudly boasts about. Its history includes many technical innovations such as its early propriety technology Aladdin. They created this software which BlackRock calls its “central nervous system,” and is an operating system for professionals to see their whole portfolios and understand risk exposure. They recently created new module, called Aladdin Climate, which helps investors measure both the physical risk of climate change and the risks to portfolios as economies shift to a low-carbon model. Furthermore, BlackRock’s innovation as of late can be summed up as its innovative way of investing. Brian Deese, the Global Head of Sustainable Investing⁴⁶ at BlackRock has said that “Increasingly issues that have been considered non-financial, are going to come to the core of financial analysis”. This new way of considering financial outcomes from nontraditional factors is innovative in the historic landscape of investing.

They also have listed on their website this purpose statement, **“BlackRock’s purpose is to help more and more people experience financial well-being.”** This is a straightforward goal, make more money for their customers. However, this purpose is now accompanied by a secondary purpose. **“In pursuit of our purpose, a focus on long-term sustainability is embedded across our business.”** This passion shows up in many aspects of the business and allows them to be included in this impact investing space. The question is: why have they decided to include this secondary purpose? Without much knowledge on their actions, one may conclude that their goal is some of the age-old additives like “to save the world” and present themselves as a “green company.” However, Larry Fink’s 2020 letter to CEOs, they see sustainable investing as a better option to grow long term wealth. They are even leaning towards investing in sustainably focused industries becoming less of a trend, and more of a necessity.

BlackRock had a major transformation in 2018 in their transition of asking “why?” to “why not?”⁴⁷ in terms of sustainability investments. Their research is beginning to show that investments in companies with ESG goals in mind are beginning to have higher returns, especially in emerging markets. Once seen as a potential sacrifice to long-term profits, BlackRock stated ESG is important to incorporate in traditional portfolios.

There is a lot of data that shows this trend is here to stay. Larry Fink says the inspiration behind writing his CEO letters citing ESG, was just because of the number of times he’s heard it mentioned and been asked about it. It is certainly becoming a major factor as it is common in industry discussions and shown to have been brought up considerably more on companies’ earnings calls. While much of that can be determined by regulation, the average S&P 500 company still mentions ESG related terms 10 times per conference call today, up from six a decade ago (Figure 12).

Europe has much more defined ESG reporting goals and it is observed that they have been better investments over the years. While they still have a lot to improve on in this area, you can see from this graph (Figure 13) that the companies with the highest ESG reporting have performed the best over years. This top quintile of ESG reporting has been steadily separating itself from the others in terms of financial performance. This trend is likely to continue and may allow for better investments to be made moving forward.

They came to this conclusion by observing four positive company characteristics; low volatility, quality, momentum, and value. By giving these hypothetical values to 2,800 companies, they compared these to their ESG values. They could see that factors such as low volatility and quality trend higher with companies that also focus on ESG reporting. This trend is increasing as well and companies that have ESG in mind will continue to improve their overall status. These



Figure 12

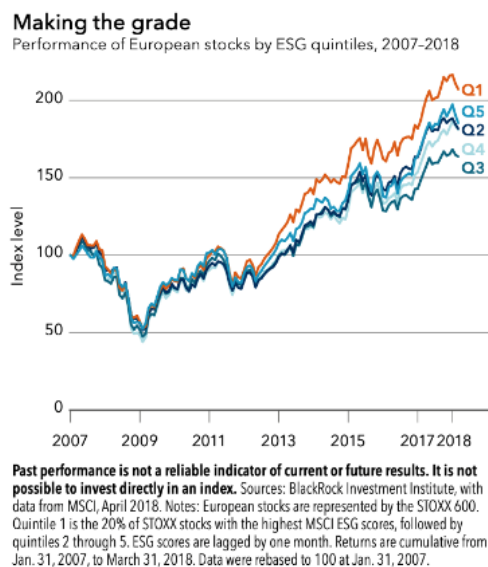


Figure 13

actions are already “baked in the cake”, meaning the steps they are taking are improving the wellbeing of the company financially (Figure 14).

Finally, with this “why not?” attitude for sustainable investing they are breaking past views that there are financial sacrifices to invest in companies “doing good.” From 2012 to 2018 companies that had ESG focus have similar returns to their counterparts, while ESG focus in emerging markets outperformed the alternative significantly (Figure 15). Therefore, investors do not need to choose between returns and ESG anymore, and ESG focus could lead to higher returns in select markets. BlackRock believes that good governance leads to reduced corporate risk and causes a lower cost of doing business. Also, paying attention to characteristics like environmental risk management, strong employee relations, and product safety can lower a firm’s cost of equity. Ultimately it pays to run a tight ship and ESG focus can offer a buffer to ESG-related risks. This gives the potential of outperforming the broader market over longer time periods.

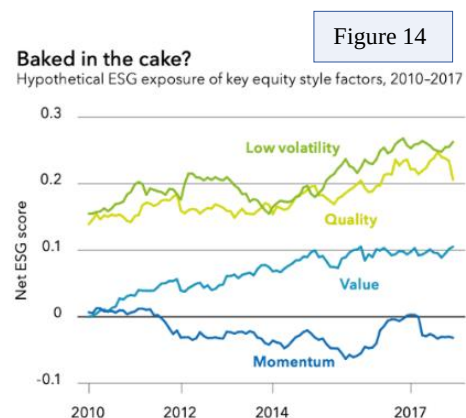


Figure 14

So, what does this all mean? Why is BlackRock giving out this information? This is exactly where they fit into the value chain of investing. Having done much market research on industry trends they can give the best recommendations to their investors with ease. Our

No sacrifice required?

Comparison of traditional and ESG-focused equity benchmarks by region, 2012-2018

Figure 15

	U.S.		World ex-U.S.		Emerging markets	
	Traditional	ESG Focus	Traditional	ESG Focus	Traditional	ESG Focus
Annualized return	15.8%	15.8%	10.5%	11.1%	7.8%	9.1%
Volatility	9.5%	9.6%	11.4%	11.6%	14.4%	14.3%
Sharpe ratio	1.62	1.60	0.88	0.92	0.51	0.61
Maximum monthly drawdown	-13.9%	-13.8%	-23.3%	-22.6%	-35.2%	-33.0%
Price-to-earnings	19.4	19.5	17.2	17.1	13.3	13.7
Dividend yield	2.1%	2.1%	3.2%	3.2%	2.7%	2.8%
Number of stocks	620	293	1,011	419	831	288
ESG score	5.2	6.6	6.5	7.9	4.4	6.2

expectation is they are publishing all this information to have potential investors believe in their purpose. Ultimately their major sell is the knowledge they have and their innovative ideas and proven performance over the years.

Their primary market is any investor around the world, but ultimately their investor class can be split up into two categories; institutional and “retail” investors. Institutional investors are typically organizations that invest money on behalf of other people. Most commonly these are groups like insurance companies, banks, hedge funds, retirement funds, and mutual funds. Typically, the institutional investors are under less regulations due to assumed education on the market and presumed preference of safe investments over risky. This group makes up their largest category of investors with pension funds being a large part of their assets under management. The non-institutional, or “retail” investors are everyday people that want their wealth managed and to invest for their own financial gains. BlackRock caters to both options and offers investment services to either. For sustainability purposes they are trying to convince either of these customer types that it is the right thing to invest in. If what they are saying about these options being the best long-term investment are true, it should be an easy choice.

BlackRock’s competitors are vast and overlap in many ways. They can be anything from other large asset management companies to your local wealth manager. The world of investing is

made up of an immense number of players that many have famously been distinguished as “Too Big to Fail”. Overall, BlackRock is considered one of “The Big Three”⁴⁸ in asset management consisting of them, Vanguard Group, and State Street Global Advisors (State Street Corporation). These three companies in total oversee assets somewhere around 17 trillion dollars, or more than China’s yearly GDP. It’s no secret how important these large financial institutions are on our everyday life choices and influence they have when it comes to working with national governments. While BlackRock’s role in this area could be explained in another paper this size, it is important to note their differentiation in terms of sustainability. While they are not the only organization to have this mindset of ESG in investing, they are certainly the biggest name. There are many other impact focused investment groups but none have the size and influence in the investing world that BlackRock has. This focus on sustainability has set them apart from their competitors and offers a different look into the world of investing.

With this breadth of knowledge and openness to many customers, what is the actual value proposition they make to customers and where does this fit into sustainability? BlackRock has ETFs and other securities that it offers to any customers. The way they have been structuring some of these ETFs is how they are enticing customers of theirs to invest sustainably. For example, their ETFs under *iShares* has a whole category of sustainably focused investments. These include funds that have categorizing classes such as ESG aware, ESG advanced, low carbon target, and global clean energy. They can be broken up into typical investing strategy categories like conservative, aggressive, and moderate depending on the companies included. These aren’t all small super environmentally focused companies included in these ETFs though. For example, their Low Carbon Target ETF includes all the FAANG companies and many other of the largest companies in the world. Customers can also purchase a lot of emerging market ETFs that have ESG focus. These still may include rather large companies like Alibaba and Tencent. Each of the ETFs has extra reporting on their sustainability such as a rating carbon intensity of the portfolio (Figure 16). Their wide selection of sustainability focused ETFs give a lot of options for investors who believe sustainability focused investments are going to have high future returns.

Add to Compare	Ticker	Fund Name	Incept. Date	Gross Expense Ratio (%)	Net Expense Ratio (%)	Net Assets (USD)	MSCI ESG Rating	MSCI ESG Quality Score	MSCI Carbon Intensity	MSCI ESG % Coverage	As of (Based on holdings as of)
☐	ESGU	iShares ESG Aware MSCI USA ETF Fact Sheet	Dec 01, 2016	0.15	0.15	12,031M	AA	7.35	89.88	99.49%	Nov 01, 2020 (Aug 31, 2020)
☐	ESGE	iShares ESG Aware MSCI EM ETF Fact Sheet	Jun 28, 2016	0.25	0.25	5,534M	A	6.47	154.09	100.00%	Nov 01, 2020 (Aug 31, 2020)
☐	ESGD	iShares ESG Aware MSCI EAFE ETF Fact Sheet	Jun 28, 2016	0.20	0.20	3,559M	AA	8.25	107.42	100.00%	Nov 01, 2020 (Aug 31, 2020)
☐	ICLN	iShares Global Clean Energy ETF Fact Sheet	Jun 24, 2008	0.46	0.46	2,690M	A	6.40	242.33	90.83%	Nov 01, 2020 (Aug 31, 2020)
☐	SUSL	iShares ESG MSCI USA Leaders ETF Fact Sheet	May 07, 2019	0.10	0.10	2,682M	AA	7.86	126.98	99.35%	Nov 01, 2020 (Aug 31, 2020)
☐	DSI	iShares MSCI KLD 400 Social ETF Fact Sheet	Nov 14, 2006	0.25	0.25	2,456M	AA	7.69	105.36	99.39%	Nov 01, 2020 (Aug 31, 2020)

This is the major example of how BlackRock offers sustainable value to its customers. However, they have many other options they are promoting to its customer’s such as their green bond market. As mentioned earlier, being able to put up these social screens on their potential investments allows for more value based investing. BlackRock can promote investments, ETFs, mutual funds, and SMAs that promote social value. These advancements in sustainable investing options gives BlackRock a competitive advancement over similar organizations.

Figure 16

While all of this sounds great there are still many issues with the pushing of these “sustainable investments”. BlackRock admits there are many issues with the data, specifically historically there needs to be more digging done on what is reported. The quality of data is not perfect, as much of it is still self-reported. Coverage of ESG material has only been around for a little over a decade, with many cases being less than that especially in emerging markets. How each company is reporting is not consistent, and currently cannot be compared as easily as something like credit ratings. Also, the frequency of reports is generally only updated once a year at most, allowing for tougher timely insights.

Much is being done in this space to create some accurate and consistent reporting amongst all companies. BlackRock is beginning to observe all companies by the U.S. Sustainability Accounting Standards Board’s (SASB) classification system. The Sustainable Industry Classification System (SICS) groups companies by their sustainability challenges rather than financial drivers and business models. To improve the accuracy of reporting of options like this, BlackRock has taken steps like asking the CEOs of 120 carbon-intensive companies to consider reporting under the standards of the Task Force on Climate-related Financial Disclosures (TCFD). This is just an example of the push companies like BlackRock are making to create consistency and transparency with how companies and their auditors report ESG information⁴⁹.

BlackRock has a wealth of industry knowledge, research, reporting tools, and connections that have made it the largest asset management company in the world. This has made them an extremely credible source for investment recommendations and advancements in high return options on the marketplace. If their strategy is to push this sustainable mindset, that is a risk as it could impede with public perception and business growth. Investing comes with inherent risk. However, BlackRock has opportunities to grow their business in the right way with regards to sustainability and are providing the resources to encourage and promote this improvement on investing expectations.

Impact Analysis

Sustainability Approach

BlackRock’s strategic positioning in the field of sustainable investing lies within a “red ocean” of traditional personal and institutional investment, offering asset management options in many different forms. BlackRock’s purpose is to create and sustain long-term financial well-being for its customers, big and small. The firm uses passive and active management strategies to maximized shareholder value through its different financial instruments such as fixed income and equity. BlackRock also has consultation and business intelligence departments which help drive transparency for internal decision making and external publication of their strategic positioning, including sustainability. BlackRock sees sustainable investing through the lens of ESG initiatives, stating they are worthwhile for firms to pursue and investors to consider as they are necessary for business and shareholder value. BlackRock’s sustainability mission is as follows.

“We are an asset manager whose objective is to create better financial futures for our clients and the people they serve. We aspire to be an industry leader in how we incorporate sustainability into:

- our investment processes and learning across the firm.*
- our stewardship of our clients’ assets.*
- our sustainable investment solutions offered to our clients; and*
- the operations of our own business”*⁵⁰

BlackRock's sustainability mission involves putting sustainability into all the business operations as well as its fiduciary duty to its clients. BlackRock's strategy pushes invested companies to consider and attain ESG initiatives through the process of proxy voting, investing in credit markets (green bonds) and offering financial products (ETFs) to give customers bundled investment positioning in sustainable enterprises.

BlackRock has positioned themselves as a progressive voice in the financial industry, especially on the forefront of Climate Change, featured in Larry Fink's CEO Letters⁵¹ followed by BlackRock's newly created "blacklist"⁵². BlackRock's most outspoken sustainability topic is climate change as discussed in great detail in their Sustainability Report.⁵³ BlackRock does acknowledge that sustainability goes beyond climate, for example, they acknowledge strengthening commitment to employees, and enhancing credit opportunities for underserved communities are other factors they consider in the sustainability decision making. BlackRock uses the following tools for impact for their business and stakeholders.

Tools for Impact (equity and credit markets)

BlackRock uses a distinct decision-making chart which reflects BlackRock's motivation to understand a client's sustainability stance while balancing their objective of increasing shareholder value. BlackRock starts their sustainability evaluation with an "Avoid" or "Advance" outcome procedure. Figure 17 breaks down the procedural spectrum in which they use to evaluate existing and prospective invested companies. "Impact" on the far-right end of spectrum is the most measurable sustainable investment framework, measurable SDG initiatives with financial returns. Impact funds or investment products are considered "impact" grade are or related to "green" bonds, fixed income instrument that finances projects with environmental objectives.⁵⁴

BlackRock's sustainability strategy meets its performance strategy as they consistently believes companies with strong sustainability/ESG scores contribute to "lower costs of capital, higher profitability and lower exposure to risk". BlackRock is steadfast with the findings that most asset classes don't have to give up financial returns to embrace the ESG initiatives.⁵⁵

Avoid and advance
Sustainable investing styles

Motivation	Avoid				Advance			
Approach	Screened	ESG		Impact				
		Broad	Thematic					
Objective	Remove specific companies/industries associated with objectionable activities	Invest in securities based on overall ESG performance	Pursue specific E, S G or SDG issues	Contribute to measurable positive outcomes alongside financial returns				
Key considerations	Definition of and financial impact of screens	ESG data sources; active risk taken	Broad versus specific exposures	Measurable contribution and reporting toward outcomes				
Examples	Screening out producers of weapons, fossil fuels and/or tobacco	ESG benchmarks; active strategies overweighting strong ESG performers	Environmental focus (low carbon or renewable energy); social focus (diversity)	Specific green bond or renewable power mandates				

Figure 17

Proxy Voting

BlackRock's customer interest lies in long-term growth and systemic strategies of the clients BlackRock invests in. Investment stewardship is how BlackRock uses their voice to promote governance and business practices that align with BlackRock's strategic business plan.

The way that BlackRock uses its stewardship is through the practice of proxy voting, holding companies accountable if expectation or future business practices don't align with BlackRock's best interest. BlackRock's voting entails board member elections as well as business management proposals. BlackRock specifically looks for high expectations of board members and executive leadership to strategically and continually embrace ESG initiatives throughout business operations. The BlackRock investment stewardship (BIS) team sees enhanced disclosure of ESG progress and positioning in the form of standardized reporting frameworks like the Task Force on Climate-related Financial Disclosures (TCFD) and the Sustainability Accounting Standards Boards (SASB). BlackRock is looking to set precedents within the global corporate structures that are more responsive and differentiated, in the end, creating long-term growth and value for the company and shareholders alike. BlackRock's Annual Stewardship Report⁵⁶ looks at their own voting stance in the relation to **board quality, corporate strategy, environmental risks, human capital and compensation that promotes long-term termism.**

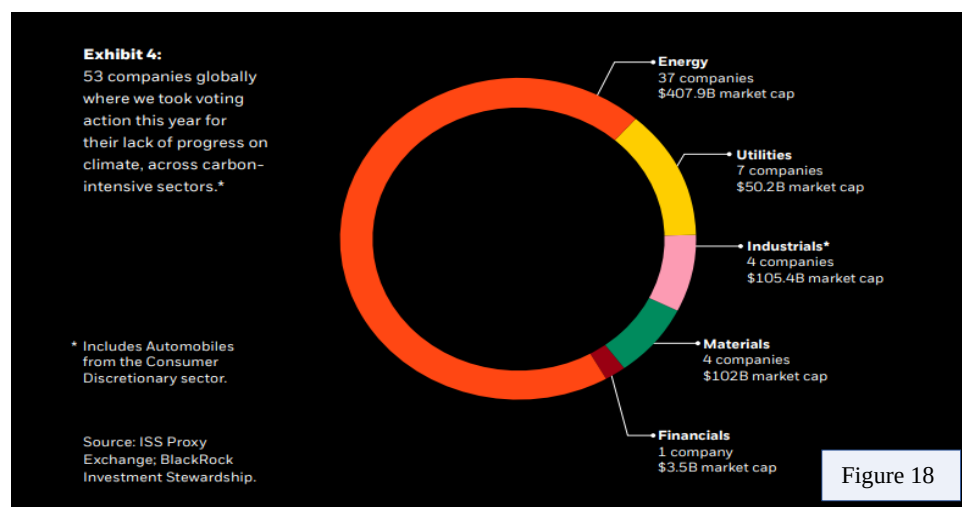
Board Quality

BlackRock's board quality concerns mostly lie in three areas, director's position on independence of the company, their progress on board diversity and overcommitment of directors. In the report data from 2019-2020, BlackRock increased their votes against board members by 32%. In total, voting against a total of 4,059 directors regarding their criteria described above. Board of directors play a pivotal role in BlackRock's voting process. Many times, BlackRock finds substantial evidence that board of directors are not doing enough in one or more topics that aligns with the BIS board. BIS' path to show disagreement is to vote against specific board members that are directly involved in the issue. For example, BlackRock voted against directors at Exxon Mobil for their disregard for climate risk reporting requests made on behalf of shareholders. Since there was no management proposal, the path to show disagreement was through board member voting (BlackRock, 2020).

Environmental Risk

BlackRock has identified and strategically positions themselves with their tested assumption that "Climate risk is an investment risk". BlackRock proposes companies to disclose their environmental risk and mitigation plans via TCFD and SASB frameworks. This gives transparent and standardized analysis of firms allowing BlackRock to carry out more informed engagements and discussion with companies regarding their disclosure and strategies. BlackRock bases their voting decisions off these disclosures that further sustain and enhance shareholder value. BlackRock identified 244 companies that were falling behind or had inadequate disclosure of environmental risk. BlackRock voted against 53 of these companies, specifically trying to vote out board of directors. This created their infamous and publicized "Blacklist" and put the remaining 191 on a "watchlist." As seen in figure 18, the 53 companies are broken up by industry and their respected market caps.

In 2020, BlackRock has four times the company engagements surrounding environmental risk compared to 2019, their key themes for their engagements included sustainable agriculture and deforestation risks, water and waste management, and elements of circular business models.



Corporate strategy

BlackRock asks companies to report publicly how material risks and opportunity are put into the long-term value proposition for stakeholders. BlackRock insists on companies with clearly defined business strategies that are built upon purpose and culture. Purpose builds confidence while culture usually influences what the company achieves, leading to long-term success for shareholders, employees and corporations. Engagements of strategy, purpose and culture have increase 52% in 2020 totaling 1,427 engagements.

Human Capital

The BIS team tests to see what board members and management decisions consider and promote strong diversity and inclusion efforts while making decisions and plans for employee development and retention, balancing the relationships with external stakeholders. The stewardship team had 750 engagements over the last year, a 187% increase from last year. BlackRock continues to use the SASB reporting framework to enhance dialogue and base sound decisions off that reporting structure.

Compensation that promotes long-termism

BlackRock seeks to understand how pay structures, especially within executive roles impact and effect companies at large. BlackRock cautiously understands that executive compensation packages continue to be a vital incentivizing tool for long-term company performance. BlackRock engages with companies about how these executive compensation plans align with their strategy, shareholder value and promote long-term retention of top talent. This year, BlackRock has held 1,200 engagements with over 950 companies, totaling for about 40% of all engagements BlackRock has had for the year. Of those engagement, BlackRock voted against 660 compensation committee directors, across 337 companies spread across the globe, 84 firms within the U.S.

Outcome of proxy voting

For 19-20', stewardship engagement increased 48%. Within the realm of ESG management proposal engagement, "E" engagements rose almost 300% while "S" engagements increase 173% while "G" engagements increase 50%. Building on those engagement, BIS' shareholder proposal votes only supported of 6% of "E" proposals while supporting 7% and 17 of "S" and "G" respectively as noted in Figure 20 below.

Region		United States	Americas (ex-U.S.)	United Kingdom	EMEA (ex-UK)	Japan	Asia-Pacific (ex-Japan)	Grand total
Management proposals (with percentage of votes against management)								
Anti-takeover and related proposals	Total number of proposals	452	36	429	105	98	59	1,179
	% voted against management	8%	3%	0%	40%	92%	2%	15%
Capitalization	Total number of proposals	436	257	2,337	3,177	46	8,180	14,433
	% voted against management	7%	7%	2%	13%	4%	16%	13%
Compensation	Total number of proposals	4,292	538	1,052	3,842	942	2,748	13,414
	% voted against management	6%	8%	8%	32%	13%	16%	16%
Election of directors and related proposals	Total number of proposals	21,032	5,170	4,373	12,582	20,058	14,448	77,663
	% voted against management	8%	7%	9%	12%	6%	8%	8%
Mergers, acquisitions, and reorganization	Total number of proposals	249	132	115	954	558	5,574	7,582
	% voted against management	2%	5%	2%	11%	5%	16%	14%
Routine business	Total number of proposals	3,500	2,269	2,627	10,874	1,587	13,948	34,805
	% voted against management	1%	19%	2%	9%	0%	3%	5%
Shareholder proposals (with percentage of proposals supported including abstentions)								
Environmental	Total number of proposals	27	7	2	13	49	13	111
	% support	19%	14%	0%	8%	0%	0%	6%
Governance	Total number of proposals	369	16	13	268	145	47	858
	% support	14%	13%	0%	25%	5%	36%	17%
Social	Total number of proposals	84	20	1	3		10	118
	% support	8%	0%	0%	33%		0%	7%
Other	Total number of proposals	51	55	2	496	79	2,155	2,838

Figure 20

In 2019-2020 proxy season, BlackRock voted in over 16,000 meetings and voted against one or more management recommendation 37% of the time. BlackRock's strategy regarding ESG initiatives regarding their proxy voting, especially climate risk, revolves around disclosure and the positioning of these companies through a standardized framework (TCFD and SASB)⁵⁷.

Credit Markets (Green bonds, highest impact)

Much like the equities market and BlackRock's retail offerings, *impact investing* has become an emerging factor in the fixed income markets, specifically in the form of "green" bonds. BlackRock builds a framework around ESG to uncover hidden strengths and vulnerabilities that isn't found in traditional credit market research.

BlackRock approaches to credit markets within the ESG realm revolve around asymmetric risk, use of proceeds and engagement. BlackRock Asymmetric risk is within the principle of what a bond is, risk of payment and principal repayment. BlackRock looks at use of proceeds or what the bond issuance will be used for rather than the company or institution itself. The interpretation BlackRock takes is that even if a utility company in an emerging market heavily relies on coal for electricity production, this firm could still be issuing bonds that could be considered green as long it materially went toward advancing some aspect of their business in a sustainable way. Engagement within the credit markets doesn't include voting action so engagement happens mostly when products come to market, or refinancing is proposed by the issuer.

Regarding the credit markets and impact investing, BlackRock has been investing in green bonds as financial tool, adding value to its fixed income products and customers. A green bond is a financing instrument that specifically finances new or existing projects that have environmental related objectives. BlackRock has played a pivotal role in developing a voluntary set of guidelines that aim to enhance project disclosure to the market, the Green Bond Principles (GBP). BlackRock has continued further in green bond evaluation by rating bonds on a "greenness scale" as seen in the figure below. These different shades of green refer to the intended proceeds, environmental benefit and the issuers ongoing commitment to impact reporting.

Shades of green

BlackRock's green bond rating categories, 2019

Very light green	Light green	Medium green	Dark green
Projects that yield only marginal improvements over baseline energy consumption and CO ₂ emissions.	Projects that yield improvements over baseline energy consumption and CO ₂ emissions, but are not yet aligned with long-term decarbonization.	Projects that yield improvements over baseline energy consumption and CO ₂ emissions, and show some signs of alignment with long-term decarbonization.	Projects that BlackRock determines are most likely to help put the world on the long-term path to decarbonization.
Examples • "Sustainable" plastic packaging • High speed mobile networks • Green buildings with silver LEED rating	Examples • Non-electrified public transit • Environmental remediation • Adaptation projects (e.g. sea walls)	Examples • Green buildings (stringent standards) • Hybrid electric vehicles • Waste water treatment	Examples • Renewable energy • Electric transportation • Smart meters
Share of index 2%	Share of index 33%	Share of index 17%	Share of index 48%

Source: BlackRock Investment Institute, with data from Bloomberg, November 2019. Notes: For illustrative purposes only. Share of index refers to the share of green bonds under each BlackRock rating category in the Bloomberg Barclays U.S. Aggregate Index as of June 2019.

Figure 21

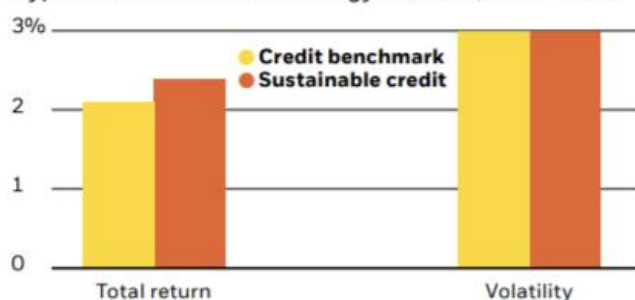
As of the spring of 2020, BlackRock has invested in over \$16 billion in green bonds. A positive sign for the *impact investment* movement as the highest rating of dark green bonds holds the largest portion of the green bonds within the Bloomberg Barclays U.S. Aggregate Index. As of 2019, BlackRock has concluded through their materiality studies, the associated financial risk of sustainability properties in green bonds hold the same credit risk and premium/discount variations. This gives evidence that green bonds are ordinary bonds, no longer a segmented and unique product offering.

Credit markets offer an alternative to build ESG portfolios that have seen risk allocations heavily weighted toward equity markets as seen in the figure below. Capital allocation in credit markets can be a preferential tool for diversified customers looking for traditional rate of returns while continuing to mitigate risks. Strategically, ESG credit indexes can offer long-term security with slightly higher returns without increasing volatility compared to ordinary credit benchmarks⁵⁸.

Figures 22 and 23

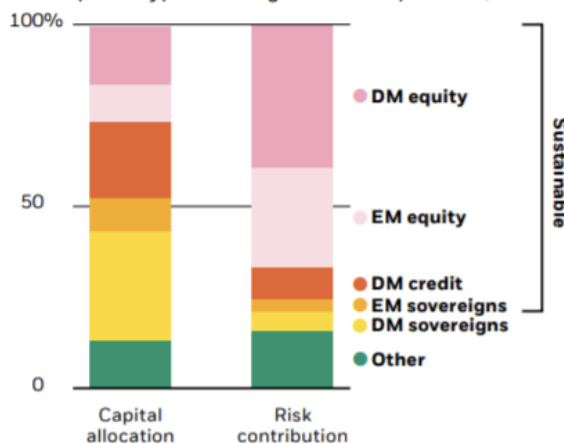
Sustainable credit

Hypothetical ESG credit strategy backtest, 2015–2019



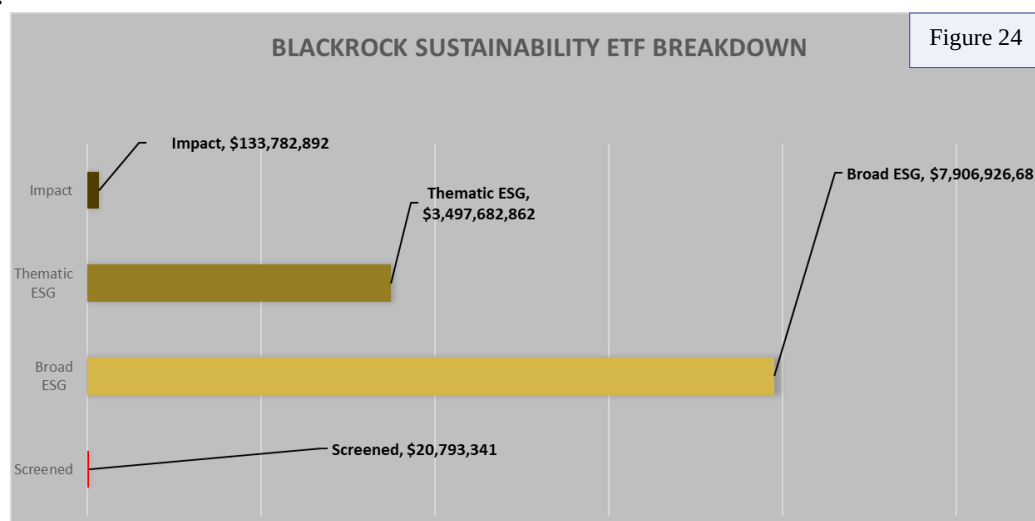
Sustainable substitutions

Makeup of a hypothetical global factor portfolio, 2019



Sustainability Products ETF Options and volume

BlackRock offers sustainability investment products through their *iShares* ETFs. The 27 ETFs offered have a net asset value of roughly \$11.5 billion. This accounts for less than 1% of net asset value for *iShares*' portfolio of ETFs which have a total of 384 ETF products ranging across equities, fixed income, real estate, and commodities. The ESG/Sustainable investing field is also quite new to BlackRock's respectable repertoire of products that are available. There are 12 new Sustainable ETF's that went live 2020, all within the broad ESG sustainability sub-class. The oldest sustainability-related ETF debuted in 2005. Of the less than 1% of *iShares* net asset value, the sustainability offerings are broken down into their respected category.



It is important to recognize that *iShares* is not an *impact investing* branded subsidiary of BlackRock. Impact and ESG ETFs are offered as a part of their products as *iShares* sees the value proposition of these products regarding their fiduciary responsibility to customers as well as their internal strategy as the biggest asset management firm in the world.⁵⁹

BlackRock Climate Industry Comparison

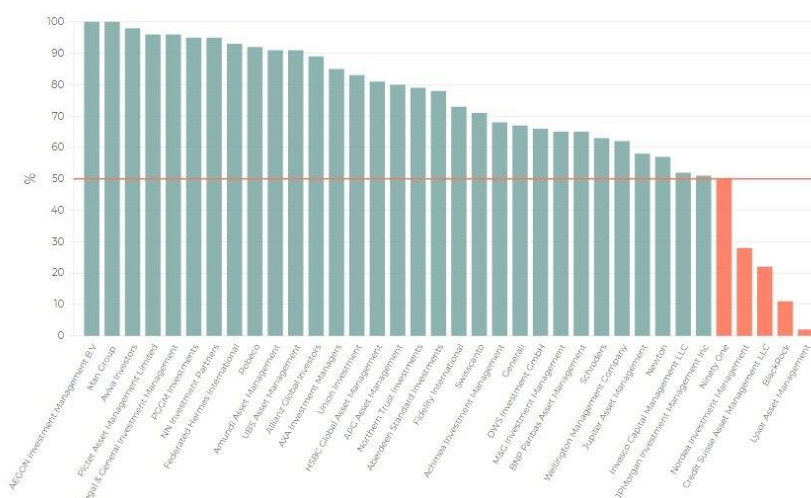
While it is important to assess all the great tools BlackRock must promote sustainability, there are still areas that some view they could improve on. Even after Fink's industry changing CEO letter, there were still protests held outside of their offices in New York, San Francisco, London, etc. The sentiment behind these is "there are questions left unanswered." While BlackRock is making some immense statements and movement towards this collective goal, some view it as ultimately a "feel-good story".

These unanswered questions arise in a couple areas. BlackRock is no stranger to demonstrations out of their headquarters. Depending on how you look at it they are still the biggest investor in coal, oil, and gas. This is largely due to their large stakes in these companies like 6.7% in Exxon Mobil, 6.9% in Chevron, or 6% in the mining company Glencore⁶⁰. BlackRock has committed to divesting from companies where more than 25% of their revenues come from coal generation, this does have a contingency that it only applies to actively managed funds. BlackRock announced it would impact only \$500 million of its assets under its active management.⁶¹

With these large stakes in many companies, we would expect them to be making big changes and pushing them to take every step possible to become more sustainable, right? No. This is where the other big unanswered question comes in, and this takes away from BlackRock's status as a sustainability focused company. The people in this camp have some convincing figures to back up their criticism in this area as well. From 2015 to 2019 BlackRock and Vanguard have opposed more than 80% of climate change-related motions at fossil fuel companies. More currently ShareAction, a charity that promotes responsible investments, reported that in 2020 BlackRock only supported 12% of the climate and social resolutions they could⁶². This is clearly a trend over the years for BlackRock and specifically the "big three" of them, Vanguard Group, and State Street Global Advisors. BlackRock is a member of the Climate Action 100+ companies but when assessed on their resolution voting they placed second to last and well below the average for other companies that have made this sustainability commitment (Figure 25).

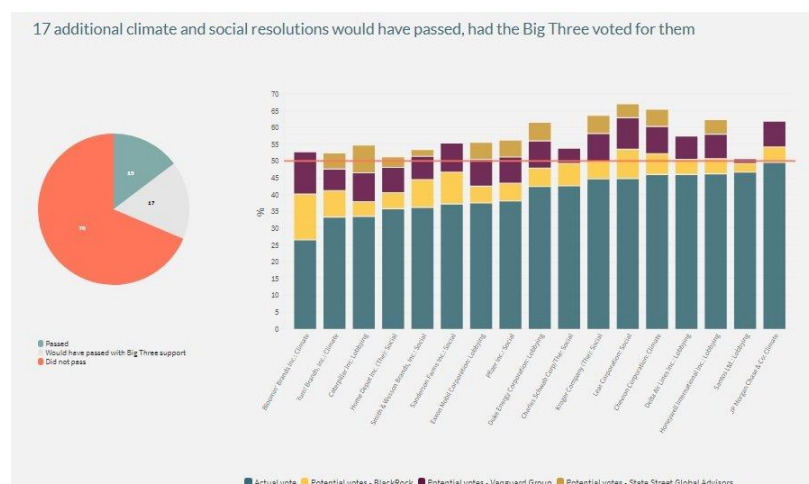
Average votes for climate resolutions by CA100+ members

Figure 25



17 additional climate and social resolutions would have passed, had the Big Three voted for them

Figure 26



While this is disheartening to see considering everything they are saying about sustainability, there must be a reason for their actions here. We asked the BlackRock employee why they would not vote in support of these climate change resolutions. He did not have a good answer for us or did not want to give one. While these resolutions vary on impact and actions,

when you dig into them it is quite confusing to understand why BlackRock would be voting against many of them. The resolutions span all ESG related categories, with a lot of them pertaining to Lobbying efforts. The ShareAction report identifies 17 resolutions that would have passed if the big three had supported them (Figure 26). They highlight one resolution that shows 48% of Kroger shareholders voted for. This intended for Kroger to need to report on its human rights' due diligence even after the US Department of Labor identified many products stocked by Kroger that had been produced with child or forced labor. A simple "FOR" vote by BlackRock (or any of the big three) would have reversed the majority and would have passed this resolution.

As mentioned, this unexpected behavior is consistent with the other big asset managers, there is clearly some risk they are assessing in these resolutions that makes them not want to vote in favor. Other large investment and asset management companies are making considerable improvements in this area. For example, JP Morgan Investment Management voted for 51% of climate resolutions in 2020, which is up from 7% in 2018/2019, or Northern Trust Asset Management supported 79% in 2020 (up from 21% the previous year). If BlackRock is a gamechanger in the impact investing space, then why are they falling behind in this area?

We'd imagine this is an answer BlackRock doesn't want to give and from our research appears they have been avoiding. One response we found when addressing this issue was "The company will support shareholder proposals that address necessary action on sustainability consistent with long-term value"⁶³. While long-term value is an integral part of their strategy, this answer clearly does not provide enough insight into justifying this lack of "for" voting. This avoidance of the question resulted in us intuitively deducing why they may not be giving out more "For" votes. The obvious thought is that these added regulations will impose unnecessary hoops to jump through for these companies. With this thinking these resolutions will hurt the financial performance of the company, thus the shareholder's value, and ultimately BlackRock's loyal customers. It can be theorized that they were influenced to vote against lobbying efforts due to actual Lobbyist action themselves. This thinking came from and can almost be backed up when it observed institutions such as Goldman Sachs Asset Management have voting policies that state "GSAM generally will vote AGAINST proposals asking for detailed disclosure of political contributions or trade association or lobbying expenditure." Goldman Sachs is probably not the only institution with this type of policy and given the results in just the last year it is shown as a result of many of these resolutions ending up in the fail to pass category⁶⁴.

BlackRock is taking a different approach to impact investing and are considering their actions more important/impactful than these resolutions. It appears they are taking a "Trust Us" approach to their voting records and have bigger plans to change these firms to align with their goals. It is theorized that they are voting this way to favor the internal teams at these companies and BlackRock's friendship with them will allow them to have greater control and influence in the future. This "just hang on, we are doing the right thing" approach is quite the gamble and they need to show quite a bit of success with it to be convincing to their incredibly large customer base⁶⁵.

Analysis, Recommendations, and Conclusion

It is important to note that Larry Fink has previously written 7-8 "CEO letters" (not all are public). At the time, his 2018 letter was the most widely known of the letters and was extremely impactful. It focused on the importance of promoting social good and highlighting that firms need to improve the community around them if they want to have long term success. His 2019 letter spoke about how profit and purpose do not need to be enemies of each other but

rather you cannot have one without the other. However, not all his letters have been like the current social, do-good promotions. Such as his instructions to companies to stop providing quarterly guidance of their firm's financials as it limits the focus on long term growth. Larry Fink himself has said all his letters focus on this idea of long-termism, and that BlackRock is not as worried about the ups and downs of the current/short-term stock market. They are focused on what companies are doing to set themselves up for the future and trends that need to be followed to ensure long-term success. As most of the assets they oversee are pension funds and related to retirement, this long-term strategy aligns well with the expectations of their clients⁶⁶.

Overall, it appears BlackRock takes a hands-off approach on actual restrictions and making a more conceded effort on sustainability in intangible assets such as human capital. Their suite of actual sustainability products and offerings is gaining traction and expected to grow. While they continue to grow, it appears the biggest impact they are making is on the thoughts of every investor, from individuals to large institutions. BlackRock is changing the thinking behind investing in general and looking at these non-traditional financial measures as a "blue ocean." They are introducing factors that have never been considered in conventional asset management and strategically assessing companies in a different way. They are encouraging their investors to look at more than financial performance to make large investment decisions. Finally, they are telling the world their strategy to presumably inspire others to follow suit.

This innovative approach to company strategy is why BlackRock will continue its success that led it to be the largest asset management group in the world in just over 30 years. Their knowledge and power in the general world of finance itself may be enough for them to continue being successful. However, this advanced view of connecting ESG-related factors and financial performance will propel them to new thresholds of success. One thing the BlackRock employee said is that BlackRock tells all their customers to try to consider that sustainability factors need to be "cooked" into a company's stock price. For example, if a company has large investments in renewable energy, they will be paying less for overhead for years to come. Or, if a less than ideal management board is selected for a company, what is going to happen when problems surface, and they have been overlooking some human rights' violations? These types of insights will provide clear guidance to identify risk-adjusted investment opportunity.

Although BlackRock is doing the work to change the way the finance industry thinks, our team does have critiques and recommendations for this company. Our first recommendation is for BlackRock to reconsider their voting efforts in these resolutions. We would like to see the actions that are in them be enacted because they all have some ESG benefit to the world. However, from a business standpoint, it appears to be jeopardizing the overall sentiment in what they believe is sustainability—BlackRock has consistently voted against ESG actions being taken place across many companies. If BlackRock writes a letter requesting that companies value the planet and the people, then vote against ESG initiatives, it could be said that Larry Fink is simply greenwashing his company in order to create a positive image. When asked about Fink's CEO letters, Birss, a spokesperson with the Amazon Watch, a rainforest environmental group, called Fink's words "empty and hypocritical."⁶⁷ BlackRock needs to provide some further guidance regarding sustainability measures to their investors.

Despite all of Fink's letters and warnings against other companies to create change and change themselves, BlackRock is being criticized for being "weak" in its commitment to environmental issues.⁶⁸ BlackRock has not been asking companies that are causing more harm to the environment to change their practices or their operations. Instead, BlackRock is simply asking for full disclosure of the extent of their environmental impact. BlackRock is not selling

off investments with companies who are harming the environment, instead BlackRock has been accused of continually funding those same companies. In 2019, companies that BlackRock held investments in contributed to wildfires starting in the Amazon, and protestors packed outside of the BlackRock headquarters.

There is a lot more we would like to see them do to improve the environment which lines up well with their stated goals and values. They are in an interesting place to improve the world around them and make recommendations that can have major impacts. Another recommendation we have for them is to push this idea of Corporate Political Responsibility as it aligns well with the disclosure on many topics they are promoting. A certain amount of that is cooked into the reporting standards they have been encouraging companies to adopt (SASB and TCFD). However, this relatively new ideology fits their overall goals well and can help in this reshaping of capitalism and finance they are pushing. Due to their incredibly global impact on finance Larry Fink is often seen seated next to world leaders, therefore they probably have a bit to learn about Corporate Political Responsibility themselves. Generally, this idea of disclosing companies' political actions and checking that they are in line with their values and goals is the next logical step. If ESG reporting is going to become the new norm, then it needs to be entrenched in all aspects of company actions.

Greta Thunberg, child environmental activist, stated, "The biggest danger is not inaction. The real danger is when politicians and CEOs are making it look like real action is happening, when in fact almost nothing is being done, apart from clever accounting and creative PR." It was argued that this statement holds true for BlackRock. Despite Fink's annual letters, in 2019 BlackRock voted against most of the resolutions backed by Climate Action 100+. To make the situation worse, BlackRock had just committed to joining Climate Action 100+ just before voting against the new resolutions.

BlackRock has taken into their own hands to put companies not aligning with climate change initiatives "on watch," however, Fink continues to vote against these same initiatives year after year. As of October 2020, BlackRock voted against 80% of climate resolutions.⁶⁹

Once again, our team recommends that BlackRock focus more on encouraging companies to take on corporate political responsibility. In Fink's most recent CEO letter, he discusses the role government plays in healing our planet from climate change, and states that governments must take the lead on climate change. Our team feels that this is a more complex issue that Fink discusses in his letter, and we believe that business and corporations play a massive role in enacting policy changes that our earth needs.

In conclusion, Larry Fink considers BlackRock a center for sustainable business intelligence. It is this knowledge and wherewithal that is going to continue BlackRock's success. Fink has said his CEO letters have never been to put pressure on companies, although we are sure it makes a couple CEOs lose some sleep. However, he wants to inform the business world on what needs to be done to be successful in the long run. Their standing in the marketplace solidifies them as someone any investor looks to for sustainability related information. While Fink himself may want to save the world and combat climate change that is not his goal for BlackRock. He understands their role in the global marketplace and wants to be on the right side of the financial industry. Climate change is real and a force that is not going away. It would be foolish for investors not to recognize its potential long-term effects and help change the way business is done to mitigate this crisis.

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